

September 2, 2025

The Honorable Warren Petersen
President of the Senate
Arizona State Senate
1700 West Washington
Phoenix, AZ 85007

The Honorable Steve Montenegro
Speaker of the House
Arizona House of Representatives
1700 West Washington
Phoenix, AZ 85007

RE: Reporting requirements per A.R.S. § 41-3955(F) Housing Trust Fund and A.R.S. § 41-3955.02(C) Military Transitional Housing Fund

Dear President Petersen and Speaker Montenegro:

Pursuant to state law, A.R.S. § 41-3955(F) and A.R.S. § 41-3955.02(C), the Arizona Department of Housing is required to provide to your office the Housing Trust Fund and Military Transitional Housing Fund Report no later than September 1st. We are pleased to provide this report, which includes information on housing programs and projects funded in FY2025. The Arizona Department of Housing administers programs that provide funding to address a wide range of housing needs throughout the state.

State Housing Trust Fund

The State Housing Trust Fund offers flexible funding for affordable housing projects across Arizona, including matching funds for several federal housing programs. In FY2025, the State Housing Trust Fund received a General Fund investment of \$15 million. Based on extensive stakeholder outreach and feedback sessions conducted in FY2024, during which the Department managed a historic state-level investment, the Department gained substantial insight into the market conditions that continue to impede affordable housing production in Arizona, ultimately informing the FY2025 strategy.

Consequently, this year ADOH elected to provide crucial gap financing for 4% bond-financed projects requiring significant capital to produce numerous, and much-needed, affordable housing units. Through awards to projects via competitive Notices of Funding Availability (NOFAs) ADOH supported the development of 1,211 affordable housing units in the metropolitan Phoenix and Tucson areas. Additionally, \$4 million was allocated to leverage federal funds, ensuring maximum federal return on investment for programs administered by both the Arizona Department of Housing and the Arizona Health Care Cost Containment System (AHCCCS). Please refer to the comprehensive summary spreadsheet enclosed, which

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delineates the investments made from the Housing Trust Fund during FY2025.

Military Transitional Housing Fund

The Military Transitional Housing Fund was established in FY2022 to provide funding for transitional housing opportunities for military members separating from service. No additional awards were made from this fund in FY2025.

Should you have any questions regarding these reports, please feel free to contact me at (602) 771-1007.

Sincerely,

A handwritten signature in blue ink, appearing to read 'R. Dhillon-Williams', followed by a horizontal line.

Ruby Dhillon-Williams, Director
Arizona Department of Housing

CC: Secretary of State Adrian Fontes

Enclosures



Housing Trust Fund - FY 2025 Annual Report A.R.S. § 41-3955(F)

NOFA Type	"Facility"/ Development Name	Awarded Organization	Organization Type	Geographic Location	Total Beneficiaries (Projected)	Unit Type	Special Population Served	Rural/Metro	HTF Awarded Amount	Total Project Cost	Summary of Facilities and Programs
Affordable Housing Development - 4%	Broadway Farms	St. Charles Company	For-Profit	S. 91st Ave and W. Broadway Rd, Phoenix, AZ 85353	190	Affordable Housing Units		Metro	\$2,500,000	\$77,736,308	4% LIHTC 190 unit project in Phoenix in need of financial support to close a funding gap due to ongoing market conditions—primarily rising interest rates and construction costs.
Affordable Housing Development - 4%	Salt River Flats 2	Ulysses	For-Profit	4027 S 13th Street, Phoenix, AZ 85040	168	Affordable Housing Units		Metro	\$2,500,000	\$64,484,627	4% LIHTC 168 unit project in Phoenix in need of financial support to close a funding gap due to ongoing market conditions—primarily rising interest rates and construction costs.
Affordable Housing Development - 4%	Allasso Ranch	Dominium	For-Profit	SW Happy Valley Rd & 147th Ave, Surprise, AZ 85387	304	Affordable Housing Units		Metro	\$2,500,000	\$155,731,282	4% LIHTC 304 unit project in Maricopa in need of financial support to close a funding gap due to ongoing market conditions—primarily rising interest rates and construction costs.
Affordable Housing Development - 4%	Helen Drake Village	The Richman Group	For-Profit	7600 N 27th Avenue, Phoenix, AZ 85051	80	Affordable Housing Units		Metro	\$2,500,000	\$30,662,974	4% LIHTC 79 unit project in Phoenix in need of financial support to close a funding gap due to ongoing market conditions—primarily rising interest rates and construction costs.
Affordable Housing Development - 4%	Tucson House	Gorman	For-profit	1501 N Oracle Road, Tucson, AZ 85705-7240	360	Affordable Housing Units		Metro	\$5,000,000	\$177,961,623	4% LIHTC 360 unit project in Tucson in need of gap financing due to increased construction costs and market conditions
Affordable Housing Development - 4%	Horizon on Villa	Gorman	For-profit	1940 E. Villa Street, Phoenix, AZ 85006	109	Affordable Housing Units		Metro	\$5,000,000	\$72,249,135	4% LIHTC 109 unit project in Phoenix in need of gap financing due to unstable market conditions.
Arizona State Match	AHCCCS' Health & Housing Opportunities (H2O)	AHCCCS	Government	Statewide	8,000	1/2 State Match	SMI	Statewide	\$2,500,000	\$2,500,000	Transfer of funds from ADOH to AHCCCS to support the Housing and Health Opportunities (H2O) Initiative.
Arizona State Match	State Match for HUD's Continuum of Care Homeless Program	ADOH	Government	Statewide	959	State Match	Homeless	Statewide	\$1,000,000	\$1,381,713	State match for HUD's Continuum of Care program. Supports the development of Local Continuums to End Homelessness (LCEHs).
Arizona State Match	State Match for Owner Occupied Housing Rehab (OOHR) NOFA	ADOH	Government	Statewide	140	State Match		Statewide	\$500,000	\$604,714	State match for Owner Occupied Housing Rehab (OOHR) Program.